

26STCP03002 26STCP03002

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Case Number: 26STCP03002 Hearing Date: September 9, 2026 Dept: 510

No.

8 - Waterloo Pays, LLC v. Certain Statutorily Defined Interested Parties

Petitioner Waterloo Pays, LLC's Petition

for Approval of Transfer of Structured Settlement Payment Rights

Petitioner

Waterloo Pays, LLC petitions for approval of transfer of structured settlement rights by a payee. The court must determine whether the transfer "is fair and reasonable and in the best interest of the payee." (Ins. Code, § 10137(a).) Specifically, the court must consider "[w]hether the financial terms of the transaction, including the discount rate applied to determine the amount to be paid to the payee, the expenses and costs of the transaction for both the payee and the transferee, the size of the transaction, the available financial alternatives to the payee to achieve the payee's stated objectives, are fair and reasonable." (Ins. Code, § 10139.5(b)(9).)

Petitioner

lodged its petition and supporting documents with the Court conditionally under seal. Therefore, the Court has access to all unredacted material on which to base its decision. In a declaration filed in support of Petitioner's accompanying motion to seal, counsel claims that unredacted copies were forwarded to all interested parties. (Shafai Decl., ¶ 3.)

Payee,

whose name is redacted in the public file, agreed to transfer rights to four annual payments of \$31,244.61 from January 1, 2027, through January 1, 2030. (First Amended Petition, Ex. 2, p. 13.) This totals \$124,978.44 in payments. Though

it is unclear why, Petitioner redacted the total amount it would pay Payee in exchange for those rights. However, the Court notes that the amount is very low; the transaction would be equivalent to paying an incredibly high interest rate on a loan.

Payee

states, "I intend to use this money to consolidate debt and purchase a vehicle." (Payee Decl., ¶ 11.) Payee has the right under Insurance Code section 10139.5, subdivision (h) to have petitioner pay up to \$1,500 for independent legal or financial advice about this transaction. As required, Petitioner advised Payee of that right, which the Payee waived. (Payee Decl., ¶ 15.)

Given

the information before the Court, it cannot make the six express written findings as required under Insurance Code section 10139.5(a). This transfer is not fair, reasonable, or in Payee's best interest. Payee could wait only a few months until her first annual payment of \$31,244.61 and thereby receive a significant portion of what Petitioner offers Payee now. It is in Payee's best interest not to transfer rights to these future payments for the low amount Petitioner offers.

Disposition

The

Court hereby denies Waterloo Pays, LLC's amended petition for approval of transfer of payment rights.

Petitioner

Waterloo Pays, LLC's Motion to Seal

Petitioner

Waterloo Pays, LLC moves for an order sealing portions of documents filed in support of its petition for approval of transfer of structured settlement payment rights.

Specifically,

Petitioner moves to seal the following:

1.

Payee's name and address (Proof of Service

to the Notice of Hearing)

2.

Payee's name in Paragraph 1 of (First Amended Petition)

3.

Payee's name and signature in body of Transfer Agreement (Exhibit 1)

4.

Payee's name, address, annuity number, and purchase price on Schedule A (Exhibit 1)

5.

Financial information in Paragraphs 5.18, 5.19, 5.21, 5.22, 5.24, and 5.25 (Exhibit 1)

6.

Payee's name and signature in body of Disclosure Statement (Exhibit 2)

7.

Financial information in the body of the Disclosure Statement (Exhibit 2)

8.

Payee's name, address, age, dependents, employment information, and purchase price in Payee Declaration (Exhibit 3)

California Rules of Court, rule 2.550(d) provides:

A court may order that a record be filed under seal only if it expressly finds facts that establish:

(1) There exists an overriding interest that overcomes the right of public access to the record;

(2) The overriding interest supports sealing

the record;

(3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed;

(4) The proposed sealing is narrowly tailored;
and

(5) No less restrictive means exist to achieve the overriding interest.

The Court cannot grant the full relief Petitioner seeks here. The proposed sealing is not narrowly tailored. Here, Petitioner seeks to seal its proposed purchase price and the equivalent annual interest rate on a loan. It is unclear why these items require sealing. Petitioner makes no effort in its papers to identify the overriding interest in sealing these items.

However, the Court finds good cause to seal Payee's name, address and other identifying information given the underlying confidential settlement agreement resolved claims of sexual assault and/or abuse. Payee has an overriding privacy interest in her name and other identifying information; this interest supports sealing the record. There is a substantial probability that this privacy interest will be prejudiced if the record is not sealed. No less restrictive means exist.

Disposition

Petitioner
Waterloo Pays, LLC's motion to seal is granted in part. The following information is hereby sealed: Payee's name, signature, address, annuity number, age, dependents and employment information.

As for the remaining portions—purchase price and other financial information—the moving party has two options. First, Petitioner may notify the Court within 10 days that it chooses for the unredacted records to be filed unsealed. (Cal. Rules of Court, rule 2.551(b)(6).) Second, if Petitioner does nothing within 10 days, the Court will return the paper copies of the lodged records and delete any digital copies. (Ibid.)

The redacted versions of the records will remain in the Court's public file.